Civic Exchange: Sustainable Finance Policy Engagements

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How we work

- Non-profit, public policy think-tank focused on climate and environmental sustainability
- Exchange of civic discourse to promote real world change
- Research, education and platform

- Identify problem
- Understand stakeholders
- Explore options
- Develop recommendations
- Engage partners

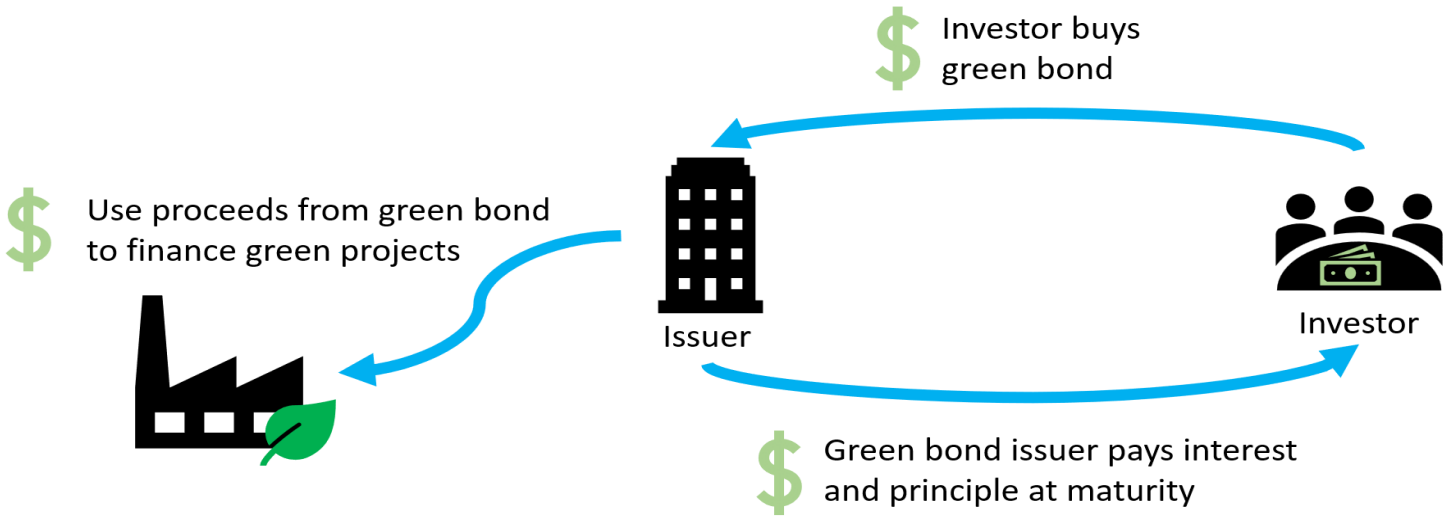
How to decarbonize Hong Kong?

Focused on the Built Environment AND Financial Regulation

Sustainable Finance Policy Engagement

What is Sustainable Finance:

- Bonds, equity, lending, grants, insurance, guarantees,
- Mobilizing global capital for sustainable development objectives

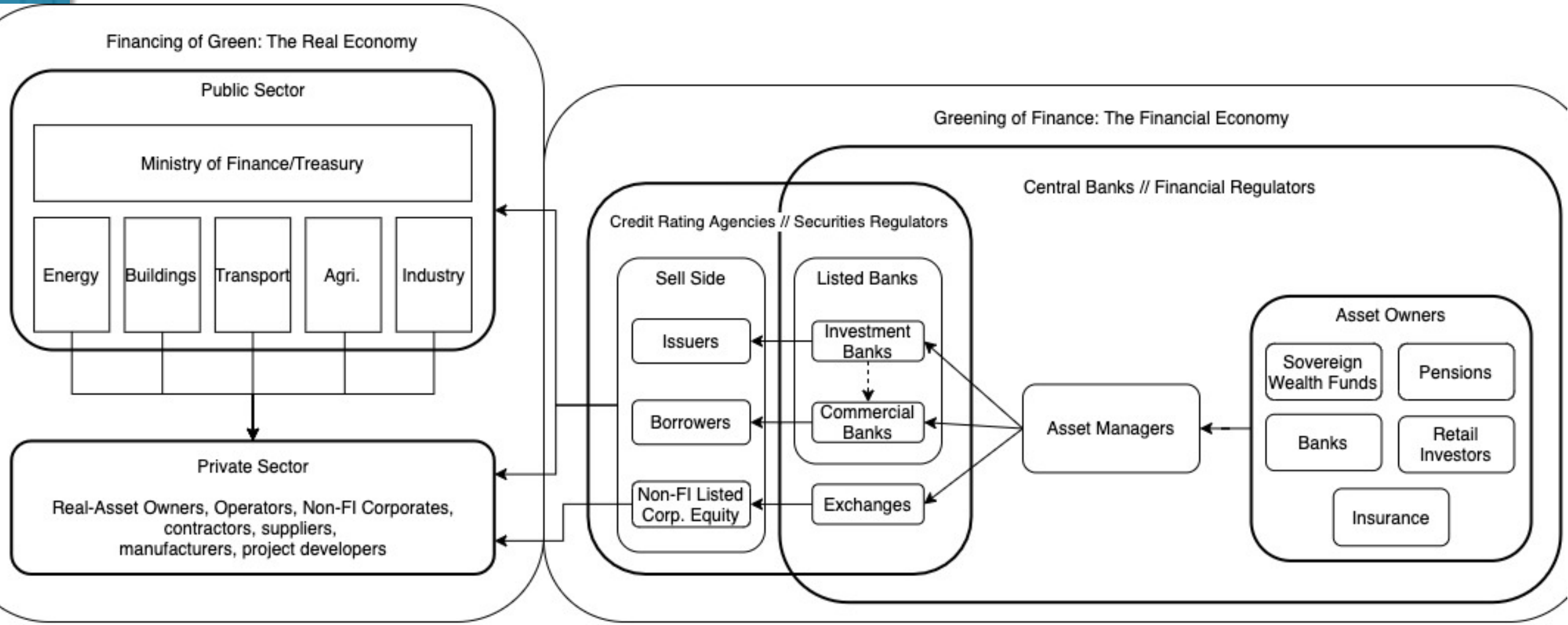


Types of policies to build the market:

- Reporting/disclosure requirements: **Taxonomies**, Sustainability Reporting Standards,
- Stress testing and risk management
- Trade, Taxation, Command & Control regulation
- Capacity Building (data tools, skills and qualifications)

Linkages between financial regulation and public policy

The sustainable finance policy stakeholders and action



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HONG KONG 2050 IS NOW

Major Sustainable Finance Policy Updates from Hong Kong

- Financial Regulators established a Cross Agency Steering Group on Green and Sustainable Finance
- Monetary Authority released Phase 2 of HK Taxonomy for Sustainable Finance
- Exchange adopted ISSB S1 & S2 for main board-listed companies
- Banks conducted two mandatory climate stress-tests
- Securities and Futures Commission developed tools for SMEs' Scope 1 & 2 calculations
- Insurance Association signed voluntary climate charter on disclosure and Scope 1 & 2

Current Projects

Sustainability Sentinel	**Use AI to assess the comprehensiveness and challenges of sustainability reporting on ISSB for HK ListCos**
Solar Lemons	Build a platform for enabling trade of second-hand solar panels
Power of Pensions	Raise awareness among students about climate risk and horizons in pensions
Energy Transition in HK	Support CREDIBLE policy for energy transition
Circular Economy in Taxonomy	Include CE as an environmental objective in the HK Taxonomy
HK's Role in Accelerating Global South Decarb.	Arrange capacity building exercise between emerging Asian markets and HK

Sustainability Sentinel

Objective	• Establish a protocol for monitoring the quality of sustainability reports disclosed on the HKEX
Strategy	• Annual report on the quality of sustainability reports in Hong Kong • Engage sectors which are lagging on reporting to support adoption of better practices • Connect these companies with solutions • Create a commercial enterprise using the data to engage corporates directly on sustainability services and potentially to help investors view environmental governance risk.
Theory of Change	• Promote transparency and quality in sustainability reporting • Build a methodology to assess sustainability reports *without* a perverse incentive • Use our unique position to monitor and warden of the quality of sustainability reports

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Power of Pensions: Empowering the Next Generation of Pensioners

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The Problem

Pensions trustees in Hong Kong are not mobilizing capital for climate action

Students and young professionals are not empowered to remove climate risk & impact from portfolios

Our Solution

Conduct sustainable finance + pensions literacy workshops at major universities in Hong Kong

Conclude workshop with survey of students' investment preferences

Provide pensions regulators and trustees with data to support sustainable finance policy-making

Policy Recommendations

Double Materiality	***Disclosure and strategy in funds***
Capacity Building	***Training, professional certifications, assurance, greenwashing watchdog***
Products	***Default-selection and opting-out***

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Sustainable Finance Taxonomies

An SF Taxonomy is a list of 'economic activity'-specific criteria, used to determine whether the conduction of said economic activity is done in an environmentally sustainable manner

Economic Activity	Criteria
Electricity generation	• Life-cycle GHG emissions are lower than 100gCO2e/kWh, calculated using ISO 14067:2018 or ISO 14064-1:2018.
Sea and coastal freight water transport	• The vessels have zero direct (tailpipe) CO2 emissions, or; • Until 31 December 2025, hybrid and dual fuel vessels derive at least 25 % of their energy from zero direct (tailpipe) CO2 emission fuels or plug-in power for their normal operation at sea and in ports
Renovation of existing buildings	• The building renovation leads to a reduction of primary energy demand (PED) of at least 30%.
Manufacture of cement	• Grey cement clinker where the specific GHG emissions are lower than 0,722tCO2e per tonne of grey cement clinker • Cement from grey clinker or alternative hydraulic binder, where the specific GHG emissions from the clinker and cement or alternative binder production are lower than 0,469tCO2e per tonne of cement or alternative binder manufactured.

Use of Sustainable Finance Taxonomies

How are sustainable finance taxonomies used?	
Issuers/Borrowers	To validate that their intended use of loans/proceeds is sustainable To label their financial products to communicate sustainability to potential investors/lenders
Investors/Lenders	To identify projects that meet investment norms/principles To respond to demands of their beneficiaries To comply with reporting requirements on sustainability of portfolios
Governments	To set standards for publicly owned assets: utilities, buildings, transport, To identify where incentives can be placed: tax waivers, subsidies, approval process To assist with development finance allocation

HK Taxonomy: Activities within Scope

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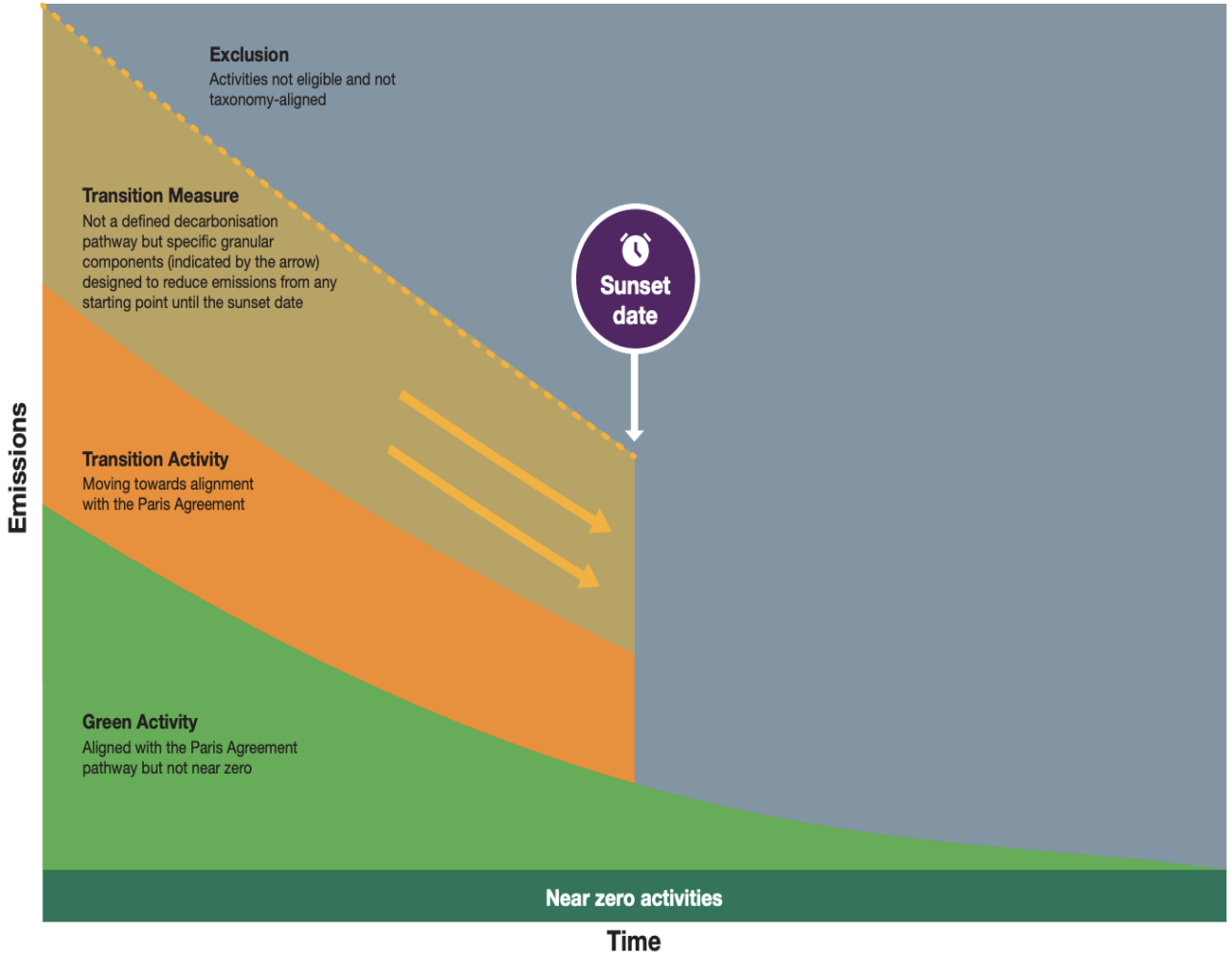
Energy	Transportation	Construction	Waste	NEW Manufacturing	NEW ICT
Electricity generation using concentrated solar power technology (Phase 1)	Public transportation system in urban and suburban areas* (Phase 1)	Construction of new buildings (Phase 1)	Sewage sludge treatment – anaerobic digestion or co-digestion (Phase 1)	Manufacture of hydrogen (Phase 2A)	Data processing, hosting and related activities (Phase 2A)
Electricity generation using solar photovoltaic technology (Phase 1)	Personal mobility devices, cycle logistics* (Phase 1)	Renovation of existing buildings (Phase 1)	Collection and transport of non-hazardous waste in source segregated fractions (Phase 1)	Manufacture of equipment for the production of hydrogen through electrolysis (Phase 2A)	Data-driven solutions for greenhouse gas emissions reductions (Phase 2A)
Electricity generation from wind power (Phase 1)	Transportation of freight by sea* (Phase 1)	Installation, maintenance, and repair of building equipment (Phase 2A)	Utilisation / treatment of domestic waste – anaerobic digestion or co-digestion (Phase 1)	Manufacture of aluminium: alumina refining (Phase 2A)	
Transmission and distribution of electricity (Phase 2A)	Transportation of passengers by sea* (Phase 1)			Manufacture of aluminium: aluminium smelting (Phase 2A)	
Transmission and distribution of renewable and low-carbon gases (Phase 2A)	Transport by motorbikes, passenger cars and light commercial vehicles (Phase 2A)				
Storage of electricity (Phase 2A)	Low-carbon transport infrastructure (Phase 2A)				
District heating and cooling (Phase 2A)					

Phase 1 Phase 2A

HK Taxonomy: Classification framework for Climate Change Mitigation

Inclusion of distinct Transition categories that are ambitious enough to facilitate decarbonisation towards net zero, while promoting inclusivity and allowing flexibility to achieve interim goals



Green Activity	• Operate at near-zero emissions; or • Aligned with a 1.5°C pathway, despite not yet at near zero emissions
Transition Activity	Currently not aligned with a 1.5°C pathway, but is either: • Progressing towards alignment within a specified timeframe; or • Facilitating significant short-term emissions reductions within a specified timeframe.
Transition Measure	• Components of an activity that can be partially or fully substituted to materially reduce Scope 1 and 2 emissions. • Includes granular technologies, processes, practices, materials, or services that are designed to reduce emissions.

HK Taxonomy: Energy Sector – Green and Transition Criteria

Emissions intensity thresholds (gCO2e/kWh) for the Energy sector

	2025-2030	2031-2035	2036-2040	2041-2045	2046-2050
Green Activity Thresholds (lifecycle emissions)	≤100	≤100	≤50	≤50	≤50
Transition Activity Thresholds (direct emissions)	≤255	≤145	N/A.	N/A.	N/A.
Exclusion	All solid fossil fuels				

Activity		Criteria
Electricity generation	Solar power	Automatically eligible
	Wind power	
Transmission and distribution	Electricity	Connection to power plants or grids that meet Green / Transition Activity thresholds
	Renewable and low-carbon gases	Distribution of 100% / 50% renewable and low-carbon gases that meet their respective criteria
Storage of electricity		• Automatically eligible for mechanical energy, thermal energy, pumped hydropower, electrochemical storage systems • Fuels used for chemical energy storage that meet their respective criteria
District heating and cooling		System uses at least 50% / 30% renewable energy/low-carbon energy/waste heat or 75% / 30% cogenerated heat or 50% / 30% of any combination

Setting Green and Transition Thresholds for Electricity Generation

$$\frac{\text{EU energy sector carbon budget to 2050}}{\text{EU forecasted total electricity demand to 2050}} = \mathbf{100gCo2e/kWh}$$

Using the same calculations in Hong Kong, we found that:

Scenario	Thresholds
66% likelihood of staying within carbon budget of 1.5°C-scenario	Direct Emission 110 g CO2e/ kWh
50% likelihood of staying within carbon budget of 1.5°C-scenario	Direct Emission 150 g CO2e/ kWh
66% likelihood of staying within carbon budget of 2°C-scenario	Direct Emission 355 g CO2e/ kWh
50% likelihood of staying within carbon budget of 2°C-scenario	Direct Emission 420 g CO2e/ kWh

Taxonomies could use the same principles, but arrive at different thresholds

Promoting Energy Transition in Hong Kong

Objective	• Ensure that HK Taxonomy holds a high standard for what constitutes ‘transition finance’
Strategy	• Publish report about how energy transition thresholds are developed and the importance of holding a stringent but useable criteria • Inform key stakeholders and policymakers in the HK Taxonomy discussion about the risks of allowing weaker transition thresholds
Theory of Change	• Promote Hong Kong’s reputation for having stringent and credible market for energy transition finance • Help financial regulators and policymakers understand the benefits of maintaining a credible threshold on energy transition • Attract project developers from other markets to raise energy transition finance through Hong Kong

Integrating Circular Economy into HK Taxonomy

Objective	• Integrate Circular Economy as an environmental objective under the HK Taxonomy
Strategy	• Host workshops with industry experts from key sectors (plastics, electronics, textiles, etc.) about the key environmental challenges in their industry and explore how sustainable finance standards can enable more investment and action • Publish a report which proposes economic-activity-level criteria for circular economy objectives under the HK Taxonomy. • Integrate this into future updates to the HK Taxonomy
Theory of Change	• Use circular economy to engage with manufacturing and industrial companies on sustainability • For example: Lee Kum Ke, G2000, Esquel Group, • Promote the use of Hong Kong as a Sustainable Finance hub (offering more than just decarbonisation finance).

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Climate Action Plan Survey

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